

financial fraud cases linked to digital lending increased by 45% in 2024, reflecting the growing menace.

These alarming statistics highlight the urgent need for stronger consumer protections, regulatory oversight, and increased awareness. In this chapter, we will dissect the tactics used by digital loan scammers, highlight red flags, and provide actionable steps to help borrowers safeguard themselves against fraudulent lending practices.

How online loan scams operate

Fraudsters exploit financial insecurity, promising easy access to loans with little to no paperwork. They leverage digital platforms, social media, and even direct messaging to target vulnerable individuals. Their primary tactics include:

Fake loan apps and websites

Scammers create convincing loan apps and websites that mimic legitimate financial institutions. They employ professional-looking logos, well-designed interfaces, and fake customer testi-



monials to gain credibility. They advertise instant loan approvals, no credit checks, and attractive interest rates to lure borrowers. However, once a user provides personal and financial details, scammers either disappear with the information or impose hidden charges that trap victims in a debt cycle. In some cases, these apps also install malware to steal sensitive data from the user's device, including banking credentials and identity information, leading to further financial loss and identity theft.

Predatory lending and hidden charges

Many fraudulent lenders operate under the guise of legitimate financial service providers but impose extremely high interest rates and hidden fees. These hidden charges may include:

- **Processing Fees:** Fraudulent lenders may charge excessive processing fees before even disbursing the loan, leaving borrowers with significantly less money than they expected.
- **Prepayment Penalties:** Some borrowers attempt to repay

loans early to escape high-interest payments but find themselves burdened with hefty prepayment penalties.

- **Excessive Interest Rates:** Scammers impose interest rates much higher than those set by regulatory bodies, sometimes exceeding 200-300% annually, making repayment nearly impossible.
- **Late Payment Fees:** Fraudsters use exorbitant penalties to trap borrowers in endless debt cycles, ensuring that they can never fully pay off their loans.
- **Hidden Terms and Conditions:** Many loan contracts contain complex and misleading language, preventing borrowers from fully understanding the terms before accepting the loan.

Loan recovery harassment

One of the most distressing aspects of online loan fraud is the aggressive and often illegal recovery tactics used by scammers. Borrowers face threats, intimidation, and public shaming through social media and direct messages, pushing them into severe emotional and financial distress. Some common harassment methods include:

- **Threats of Legal Action:** Fraudsters falsely claim they will take legal action against borrowers to create panic and pressure them into immediate repayment.
- **Social Media Blackmail:** Some scammers access borrowers' contact lists and send defamatory messages to family, friends, or colleagues, damaging their reputation.
- **Physical Threats and Intimidation:** Borrowers may receive anonymous calls, texts, or messages threatening violence if they fail to repay on time.
- **Unauthorized Access to Personal Data:** Fraudsters use the permissions granted on fake loan apps to access borrowers' phone contacts, personal photos, and messages, which they use to blackmail or shame the borrower into repaying.

Red flags to watch for

Identifying warning signs can help individuals avoid falling victim to digital lending fraud. Key indicators include:

No regulatory approval

Legitimate lenders in India must be registered with the RBI or other financial regulatory bodies. Scammers often operate without licenses or approval. Before borrowing, check if the lender is listed in the RBI's official list of registered financial institutions. If a lender refuses to provide licensing details or their registration number, consider it a major warning sign.

Upfront fees

Any loan provider demanding advance payments, processing fees, or security deposits before disbursing funds is likely a scam. Authentic lenders deduct processing charges from the loan amount rather than requiring an upfront payment. Additionally, be cautious if a lender insists on payments via untrace-